ANTI-MONEY LAUNDERING AND KNOW YOUR CLIENT POLICY

Purpose

The purpose of this policy is to provide guidance on the Anti-Money Laundering and Know Your Client Policy which is followed by Amber Rock Trade Ltd hereinafter called ''the Company'' to achieve full compliance with the relevant Anti-Money Laundering legislation.

Legal Framework

Investment Firms are required to comply with the provisions of the Anti-Money Laundering and Anti-Terrorism Financing Act 2002 (hereinafter called the "Act" for the purposes of this policy). The main purpose of the Act is to ensure that the Company complies with relevant anti-money laundering and combating funding terrorism laws and regulations, assist law enforcement in combating illegal money laundering, and minimizes the risk of the Company's resources being used for improper purposes.

In accordance with the Act, Investment Firms are obliged to set out policies and procedures for preventing money laundering activities. Those procedures, which are implemented by the Company, as these are requested by the Act, are the following:

a. Record keeping procedures in relation to clients' identity and their transactions. All personal data collected for AML purposes shall comply with GDPR and applicable local data protection laws and be processed only as necessary for compliance.

b. Compliance officers at management level in each branch and subsidiary who will be in charge of the application of the internal programs and procedures, including proper maintenance of records and reporting of suspicious transactions.

c. Appropriate procedures of internal control, risk management, with the purpose of preventing money laundering activities.

d. The detailed examination of every transaction that due to its nature is considered vulnerable to money laundering, and especially for complicated or unusually large transactions and transactions that take place without an obvious financial or legal purpose.

e. Measures for making employees aware of the procedures mentioned above set forth to prevent money laundering and of the legislation relating to money laundering.

f. Provision of regular annually training to their employees in the recognition and handling of transactions suspected to be associated with money laundering.

g. Audit functions to evaluate such policies, procedures and controls to test compliance with the measures taken by the reporting institution to comply with the provisions of this Act and the effectiveness of such measures.

DEFINITIONS

Money Laundering: Hiding the source of illegal money and presenting them as legal.

Suspicious Transaction: A financial activity that seems unusual or possibly illegal.

Client: A physical or legal person using the Company's services

Beneficial Owner: The real person who owns or controls an account or company.

Policy

The provisions of the Act have been adopted by the Company, which introduces procedures and processes that ensure compliance with the Act on this matter.

The Company requires all employees to comply with laws and cooperate fully with regulators and law enforcement. Employees who, in good faith, report suspected illegal or unethical activity will be protected from retaliation, and the Company prohibits any adverse action against whistleblowers.

1. CLIENT IDENTIFICATION AND DUE DILIGENCE PROCEDURES

The Company has adopted all requirements in relation to client identification and Due Diligence procedures as follows:

a. Due Diligence procedures are applied in the following cases:

- When establishing a business relationship. (opening an account, executing a mandate, or otherwise commencing ongoing dealings that require customer due diligence (CDD) and ongoing monitoring).
- When carrying out one-off transactions amounting to USD15.000 (fifteen thousand dollars) or more, whether the transaction is carried out in a single operation or in several operations which appear to be linked.
- When there is a suspicion of money laundering or terrorist financing, irrespective of the amount of the transaction.
- When there are doubts about the veracity or adequacy of previously obtained client identification data.

Failure or refusal by a client to submit the required data and information for the verification of their identity, without adequate justification, constitutes elements that may lead to the creation of a suspicion that the client is involved in money laundering or terrorist financing activities. In such an event, the Company does not proceed with the establishment of the business relationship.

The practice to which the Company adheres in order to comply with the requirements of the Act on the subject of the client identification is achieved on a risk-based approach where clients are classified as low, medium, or high risk based on geographic risk (exposure to countries with weak AML controls), product or service risk (complexity, cash usage, or cross-border activity), and client type risk (e.g., corporates, PEPs, trusts).

High-risk clients are subject to enhanced due diligence, including additional verification of identity and beneficial ownership, source of funds checks, senior management approval, and ongoing monitoring of transactions and risk profile.

The procedure followed by the Company is set out below:

➢ *Client Due Diligence Procedure*

The Company has put in place procedures in relation to Client Identification and Due Diligence as listed below:

- When establishing a business relationship.
- When carrying out one-off transactions amounting to USD15.000 (fifteen thousand dollars) or more, whether the transaction is carried out in a single operation or in several operations which appear to be linked.
- When there is a suspicion of money laundering or terrorist financing, irrespective of the amount of the transaction.
- When there are doubts about the veracity or adequacy of previously obtained client identification data

➢ *Timing of identification*

Client and beneficial owner identification shall be completed before the establishment of a business relationship or the carrying out of a transaction.

By way of derogation, the verification of the identity of the client and the beneficial owner may take place during the establishment of a business relationship if this is necessary so that the normal conduct of business is not interrupted and where there is limited risk of money laundering or terrorist financing occurring. In such situation, these procedures shall be completed as soon as practicable after the initial contact.

➢ *Renewal of client identification*

Reviews of existing records shall take place on a regular basis, thus ensuring that the documents, data or information held are kept up-to-date. Client Due Diligence procedures shall be applied not only to all new clients but also at appropriate times to existing clients on a risk sensitive basis.

b. Simplified Client Due Diligence

Simplified procedures may apply for lower risk clients, for example a regulated financial institution, governmental bodies or low risk jurisdictions. More detailed client Due Diligence measures for lower risk clients shall apply when there is a suspicion of money laundering, regardless of any derogation, exemption or threshold, and not whenever a business relationship is established.

It should be noted that the Company shall gather sufficient information to establish if the client qualifies to be classified as lower risk client.

c. Enhanced Client Due Diligence

The Company applies enhanced client Due Diligence ("EDD") measures where its risk assessment identifies a higher risk of money laundering or terrorist financing, including in relation to high-risk clients, jurisdictions, or transactions. In particular, where the client has not been physically present for identification purposes, the Company shall apply specific and adequate measures to mitigate the identified risks by implementing one or more of the following measures:

- Ensuring that the client's identity is established by additional documents, data or information. The Company applies compensating measures such as certified documents, video verification, or third-party verification.
- Supplementary measures to verify or certify the documents supplied or requiring confirmatory certification by a credit or financial institution.
- Ensuring that the first payment of the operations is carried out through an account opened in the client's name with a reputable credit institution.

- High-risk relationships are subject to enhanced ongoing monitoring.

d. Politically Exposed Persons

Politically exposed persons are individuals who are or have been entrusted with prominent public functions in a foreign country and close associate is someone with a close relationship with the politically exposed persons. The Company adopts the following additional Due Diligence measures to determine whether a prospective client is a politically exposed person:

- Take appropriate measures for the establishment of the origin of the client's assets and the source of funds that are related with the establishment of the business relationship or transaction.
- Conduct enhanced and continuous monitoring of the business relationship.
- Conduct further Due Diligence by requesting a bank statement and additional identification.

Requests references or confirmation of duties in public office. **Politically exposed persons (PEP):** Means the natural persons whether domestic or foreign, in accordance with international best practices and regulatory expectations. The classification of a PEP shall not be affected by the country of origin or the jurisdiction in which the individual holds or has held a prominent public function and who are or have been entrusted with prominent public functions and their immediate family members or persons known to be close associates of such persons.

The Company defines a PEP as an individual who is or in the last 12 months has been entrusted with a prominent function and as such could potentially abuse such position or function for the purposes of laundering or other predicate offences, such as corruption or bribery. Due to the high risk associated with PEPs, additional EDD measures are put into place when entering into a business relationship with a PEP.

The Company, in addition to screening via WiseBOS, utilises existing commercial resources and other databases for the identification of PEPs and always ensures that initial KYC and due diligence include reviewing individual names against these resources and databases to identify PEPs immediately.

The Company maintains PEP lists that are reviewed and updated periodically to ensure timely identification of any changes in an individual's status, role, or risk profile. Such reviews shall occur at regular intervals and upon the occurrence of any significant event that may impact PEP designation and record retention is for a period of 7 years after business relationship ends.

Where the Company decides to form a business relationship with PEP, always ensure that:

• Risk Committee (RC) approval for establishing the business relationship is obtained and recorded;

• We take reasonable measures to establish the source of wealth and source of funds;

• We conduct Due Diligence on prospective client;

• We conduct enhanced and continues monitoring of the business relationship;

• Due diligence is performed on PEPs who are not our clients but are connected to one of our corporate clients by statutes or via notion of control;

• DD is performed when dealing with those who are PEPs, as well as family members or close associates of those PEPs.

The Risk Committee ("RC") is responsible for reviewing and approving the establishment or continuation of business relationships involving high-risk clients or Politically Exposed Persons ("PEPs"). The RC's decision shall be based on documented risk assessment findings, including the client's risk profile, source of funds and wealth, jurisdictional exposure, and the adequacy of proposed risk mitigation measures. All approvals or rejections must be documented in writing, securely stored, and made available for audit or regulatory review. The RC may approve a relationship only where the identified risks are deemed manageable and adequately mitigated; otherwise, the relationship shall be rejected or terminated.

A person who is a PEP shall continue to be treated as such for at least 12 months after the date on which that person ceased to be entrusted with that public function; or for such longer period as Company considers appropriate to address risks of money laundering or terrorist financing in relation to that person. These provisions do not apply to family members who should be treated as ordinary customers, unless other risks are apparent, from the point that the PEP leaves office.

POLITICALLY EXPOSED PERSONS

The meaning "*politically exposed persons*" includes the following natural persons who are or have been entrusted with prominent public functions' in a foreign country:

- Heads of State, heads of government, ministers and deputy or assistant ministers;
- Members of parliaments;
- Members of supreme courts, of constitutional courts or of other high-level judicial bodies whose decisions are not subject to further appeal, except in exceptional circumstances;
- Members of courts of auditors or of the boards of central banks;
- Ambassadors and high-ranking officers in the armed forces;
- Members of the administrative, management or supervisory bodies of State-owned enterprises;
- Directors, deputy directors and members of the board or equivalent function of an international organisation;
- Where a person has ceased to be entrusted with a prominent public function for a period of over a year, the Company shall not be obliged to consider such a person as politically exposed; and
- None of the categories set out above for PEPs shall be understood as covering middle ranking or more junior officials.

"***Family members***" means the following:

- The spouse or the person with which cohabit for at least one year, or a person considered to be equivalent to a spouse, of a PEP; and
- The legal guardian children or adopted children and step children and their spouses or the persons with which cohabit for at least one year continuesly, or persons considered to be equivalent to a spouse, of a PEP;
- The parents of a PEP.

The Company considers following persons to be "***close associates***" of a PEP:

- An individual known to have joint beneficial ownership of a legal entity or a legal arrangement or any other close business relationship with a politically exposed person PEP), provided that enhanced due diligence on such close associates shall be required even where the PEP is not the direct client;
- An individual who has sole beneficial ownership of a legal entity or a legal arrangement which is known to have been set up for the benefit of a PEP, including, without limitation, entities such as family-owned businesses, shell companies, trusts, or intermediaries acting on behalf of a PEP, irrespective of whether the PEP is the direct client.

"*Persons known to be close associates*" means the following:

- Any natural person who is known to have joint beneficial ownership of legal entities or legal arrangements, or any other close business relations, with PEP; and
- Any natural person who has sole beneficial ownership of a legal entity or legal arrangement which is known to have been set up for the de facto benefit of PEP.

The Company applies the following, EDD additional measures in PEP cases:

• Search in Directories to determine the PEP status and perform screening;

• Business relationship to be approved by the Board of Directors;

• Ascertain the reputation of the PEP;

• Establish whether the client's wealth and funds involved in the business relationship come from legitimate business, with documents such as bank statements, tax records, investment statements, or other credible financial documentation. The Compliance Department may request additional evidence as needed to substantiate the client's financial profile.

• Clearly define and monitor personal/economic profile; at a frequency determined by risk profile, including, but not limited to, monthly, quarterly, or other risk-based intervals.

• Obtain Legalised Passport Copies/Utility Bills of the PEP;

• Obtain a Reference Letter from both a Professional and a Bank with whom the PEP maintains a bank account;

• Ensure that the first payment is made from an account that was opened with a credit institution in the name of the client in a country of the European Economic Area; and

• Carry on-going monitoring of business relationship.

Approval by senior management is required to establish or maintain a business relationship with a Politically Exposed Person. The source and origin of funds related to the business relationship or transaction must be verified. The Company will conduct enhanced and continuous monitoring of the business relationship. In cases where a PEP is rejected or identified post-onboarding, the Company will implement appropriate risk mitigation measures, including but not limited to reviewing and potentially terminating the business relationship, conducting additional due diligence, and escalating the matter to senior management for decision-making.

All approvals, reviews, checks, and monitoring activities must be fully documented and retained to create a clear and auditable trail. This includes records of any actions taken, decisions made, and communications exchanged during the verification and monitoring processes.

A transaction might exceed predefined risk thresholds for risk escalation. Escalation criteria shall include, but are not limited to, unusual transaction patterns, significant changes in client behavior, or discrepancies in verification documents.

e. Anonymous or Numbered Accounts

The Company does not offer or maintain anonymous or numbered accounts, in accordance with applicable regulatory requirements and anti-money laundering (AML) regulations, which explicitly prohibit such accounts. Additionally, the Company pays special attention to any money laundering or terrorist financing threats that may arise from products or transactions that could favor anonymity, such as wire transfers to high-risk jurisdictions, use of virtual currencies, or cash-intensive transactions. The Company implements enhanced monitoring procedures, including transaction screening, customer due diligence, and ongoing account activity reviews, to detect and prevent the use of its products and services for money laundering or terrorist financing purposes.

f. Client Accounts in Third Person

The Company does not offer or maintain accounts in the name of Third persons. If a client claims to act on behalf of another person (e.g., under a power of attorney), the Company will implement verification procedures to confirm the legitimacy of such representation before opening or managing any account. The Company also maintains escalation procedures to address and investigate any suspicious activity related to third-party accounts, including potential money laundering or terrorist financing risks. Furthermore, the Company keeps comprehensive records of all verification, monitoring, and escalation actions to demonstrate compliance with applicable laws and regulations during audits or regulatory inspections.

g. ***Record keeping procedures***

The Company should keep the following documents and information for use in any investigation into, or analysis, of possible money laundering or terrorist financing by national authorities:

- The name and address of clients and copies or records of official identification documents (like passports, identity cards).
- The name and address (or identification code) of counterparties.
- The form of instruction or authority.
- The account details from which any funds were paid.
- The form and destination of payment made by the business to the client.
- Business correspondence

For client Due Diligence, a copy of the references of the evidence is required, for a period of at least 6 years after the business relationship with the client has ended, in accordance to FATF Recommendations and EU AML Directives.

Correspondence, risk assessments, approvals (including high-risk client approvals by senior management), and any other documentation relevant to CDD or transactions shall also be retained for a minimum of six (6) years.

The retention of the documents/data, other than the original documents or their certified true copies that are kept in a hard copy form, electronic, or other forms, provided that they are secure, tamper-proof, and easily retrievable. The Company must be able to retrieve and present all documents without undue delay upon request by internal or external auditors, regulators, or competent authorities.

Electronic records shall be subject to backup procedures and disaster recovery measures to ensure protection against data loss.The retention requirement applies to all relevant documentation supporting domestic and cross-border business relationships and transactions.

"Official identification" includes, but is not limited to, passports, government-issued identity cards, utility bills, and, for legal entities, corporate registration documents.

Supporting evidence shall also include risk assessments, management approvals, and any other internal documentation required to justify client onboarding, transaction execution, and monitoring procedures.

2. CLIENT ACCOUNT OPENING PROCEDURES

The necessary Due Diligence procedures, as described above, are applied to ensure all Know Your Client (KYC) policies are adhered to, all documents necessary for proceeding with KYC procedure are provided and the Company may accept the client and proceed to the account opening. Subsequently the client completes the account opening forms indicating all required information. The responsible employee collects all initial information of the client and the relevant department reviews and approves the client.

All initial client documents must be verified and approved by the Compliance Officer before account activation, except where limited derogation applies. The responsible employee collects the client's information, which is reviewed and approved prior to account opening. Failure or refusal from Client to provide required information, the Company may suspend the account or terminate the business relationship, with all actions documented.

The Company also conducts periodic reviews of client information and verifies any changes to the client's profile, including address, occupation, or ownership structure, in line with KYC policies.

The AML Compliance Officer of the Company is responsible for ensuring that the Company complies with anti-money laundering laws and regulations. This includes monitoring transactions and client activity to identify suspicious behavior, reporting such activity to management and regulatory authorities, and maintaining accurate records of KYC, transactions, and compliance actions, as well as provide training to staff to promote awareness and a culture of compliance across the organization.

2.1 Client Risk Classification

- ***Low risk customers:*** individuals and entities whose identities and source of wealth can be efficiently determined and their transactions and income are consistent with their economic profile, shall be classified as low risk. It might include regulated financial institutions, governments and publicly listed companies.
- ***Normal risk customers:*** individuals and entities whose identities and source of wealth can be determined and their income is not likely to deviate from the pattern of transactions and their economic profile shall be classified as normal risk clients. It might include retail clients with verifiable income and transaction history.
- ***High risk clients:*** individuals and entities that are likely to pose a higher-than-average risk to the company shall be considered as high-risk clients. In these cases, Enhanced Due Diligence will be applied mandatory and based on the results the Company may choose to investigate further and/or terminate choose not to establish a business relationship with the potential client. The closed accounts of the high-risk clients are documented. It might include PEPs, clients from high-risk jurisdictions, on-face-to-face clients, unusual transaction patterns.

In line with current FATF guidance, the onboarding process for all the non-face to face clients is to be considered as High risk thus include enhanced customer due diligence measures to strengthen compliance and reduce risk. The Company takes all appropriate measures and procedures to ensure compliance with the Money Laundering and Terrorism (Prevention) Act, including conducting live video verification to confirm the client's identity, requiring government-issued or certified identification documents, and closely monitoring initial transactions for unusual patterns or potential risk indicators. These steps help ensure accurate identification and enable early detection of suspicious activity.

Also, enhanced due diligence is followed for high-risk third countries. Expanded and harmonized measures for customers from high-risk third countries. Member states may require additional measures, such as using bank accounts in countries with EU, equivalent AML standards for the first transaction in a business relationship or additional verification regarding source of funds and identity. Ongoing monitoring of account activity will be enhanced for customers from high-risk third countries.

In the event that discrepancies, inconsistencies, or suspicious information are identified during client verification, the matter shall be immediately escalated to the Compliance Officer or designated risk management personnel. Appropriate measures, including enhanced due diligence, temporary account restrictions, or further investigation, shall be undertaken in accordance with the organization's risk management framework. All escalations and actions taken must be documented for audit and regulatory purposes.

2.2 Client's acceptance policy

The customers' acceptance policy has been prepared after detailed assessment of the risks faced by the Company from its customers including a description of the types of customers that are likely to pose a higher-than-average risk to the Company based on their transactions and/or their countries of origin or operations.

Clients are categorized as low/normal risk or high risk, with simplified due diligence (SDD) applied to the former and enhanced due diligence (EDD) for the latter. High-risk clients include non-face-to-face clients, high-net-worth individuals, those with complex or opaque structures, or clients from high-risk jurisdictions, and require additional verification such as video identification, bank references, proof of wealth, and beneficial ownership checks, with more frequent ongoing monitoring. Clients may be rejected if they are from FATF-identified high-risk jurisdictions, fail or refuse to provide KYC, are linked to sanctioned entities or PEPs with unresolved risks, or have unverifiable ownership. The Company regularly reviews high-risk jurisdictions and screens all clients prior to account opening to ensure compliance, with required identification documents aligned to each client's risk profile.

The Company does not engage in business with jurisdictions identified as high-risk by the Financial Action Task Force (FATF) or local regulators. s. All transactions and relationships are screened to ensure compliance with international standards and local regulations, protecting the organization from financial and reputational risks.

The identification documents required for the customers' acceptance and for implementing efficiently the KYC procedures are as follows:

2.3 KYC documentation for natural persons

The following documents shall be obtained for the clients' verification. The relevant department shall collect all information and documentation of any potential client to enable the Company to accept the said client.

<u>Applicable to:</u>

 Natural persons

<u>Requirements:</u>

1. *Passport*
2. If passport is unavailable the Company shall obtain another identity with the photograph included;
3. A proof of address in the person's name. <u>All documents/certificates must not be more than 6 months old</u>
4. Bank account details for settlement purposes
5. Accepted Terms of Business

The Company for verification purposes requires certified copies of the documents, online verification or video checks for non-face-to-face interactions. All verification records are securely stored and retained for at least six years after account closure.

2.4 KYC documentation for corporate clients

A different identification procedure is followed for corporate clients interested in opening an account with the Company. The documentation that needs to be obtained by the corporate clients for the construction of their economic profile is presented below:

Applicable to:

 Private companies, partnerships, joint ventures

Requirements:

1. *Certificate of incorporation* and *Certificate of Good Standing* of the legal person;
2. *Bank statement of the Company not older than 6 months*
3. *Certificate of Directors and Secretary*
4. *Certificate of Registered Shareholders* in the case of private companies and public companies that are not listed in a regulated market or another country with equivalent disclosure and transparency requirements
5. *Memorandum and articles of association* of the legal person
6. A *resolution of the board of directors* of the legal person for the opening of the account and granting authority to those who will operate it
7. In the cases where the registered shareholders act as nominees of the beneficial owners, a copy of the *trust deed/agreement* concluded between the nominee shareholder and the beneficial owner, by virtue of which, the registration of the shares on the nominee shareholder's name on behalf of the beneficial owner has been agreed
8. Documents and data for the verification of the identity of the persons, in accordance with points 10 and 11 herein, that are authorised by the legal person to operate the account, as well as the registered shareholders
9. Copies of its latest audited *financial statements* (if available), and/or copies of its latest management accounts.
10. Personal information on one *Director* (different verification documentation required for identity and proof of address):

- Copy of their *Passport* (with photograph and signature specimen included).
- 1 recent copy of *proof of address* in the person's name.

<u>All documents/certificates must be not more than 6 months' old</u>

11. Personal information on *Ultimate Beneficial Owners* with 10% beneficial ownership or more (different verification documentation required for identity and proof of address):

- Certified copy of their *Passport* (with photograph and signature specimen included).
- 1 recent copy of *proof of address* in the person's name.

All documents/certificates must be not more than 6 months' old

12. Accepted Terms of Business

The Company for reification purposes may request certified documents and independent verification of directors, shareholders, and beneficial owners, identifying those with 10% or more ownership or control, and addressing nominee shareholders or trust arrangements to ensure transparency, in accordance to FATF guidance. Company shall screen against PEP and sanctions lists, with enhanced due diligence applied as needed. The Company will conduct ongoing monitoring of corporate clients, ownership, structure changes, and financial statements, and maintain all records securely in line with regulatory requirements, taking compliance action, including refusal of service, where procedures are not met. All verification records are securely stored and retained for at least six years after account closure.

2.5 KYC documentation for private companies

The Due Diligence documentation that is required for private companies is indicated below:

Applicable to:

- Unregulated private companies irrespective of jurisdiction;
- Public companies not listed on stock exchanges;
- Unregulated limited liability partnerships

Non-applicable to:

- Private companies with bearer shares in issue

Requirements:

1. Copy of *Certificate of Incorporation*, or *Certificate of Registration of the Partnership* and any *Change of Name Certificates*;
2. Copy of *Certificate of Registered Office*

   Company for verification purposes requires certified copies or electronic verification via the applicable corporate registry
3. Copy of *Certificate of Shareholders / Limited Partners*;

- *In case the Shareholders/ Limited Partners are other legal entities the following additional documentation is required:*
- *A legal structure chart showing all intermediate entities up to the Ultimate Beneficial Owners;*
- *Full legalization documents of the ultimate legal entity which exercises actual control or, in the case of many ultimate legal entity shareholders, of those legal entities that exercise such control. The legalization documents of intermediary holding companies are not required. The term "legalization documents" includes (i) Certificate of Incorporation, (ii) Certificate of Registered Office, (iii) Register of Shareholders, (iv) Register of Directors, (v) Memorandum & Articles, whereas the term "control" applies to direct and indirect ownership of over 50% or as per FATF guidance for UBOs.*
- *Additional to requirement below, a UBO resolution from the above ultimate legal entity exercising control.*
- *In cases where the Shareholders/ Limited Partners are Nominees, additionally to the below are required either the Nominee agreement OR a UBO resolution from such Nominee shareholder(s).In the event of Nominee shareholders the Company requires verification documents as well as full legalization documents for nominee agreements.*

4. Copy of *Certificate of Directors/ General Partners*;
5. Personal information on one *Director/ General Partner* *(different verification documentation required for identity and proof of address)*:

- Copy of their *Passport* (with photograph and signature specimen included).
- 1 recent copy of *proof of address* in the person's name.
- PEP Screening

All documents/certificates must be not more than 6 months' old

6. Copy of the *Memorandum & Articles of Association* or *Limited Partnership Agreement.* The Company may perform review for ownership changes affecting control
7. Latest Audited *Financial Statements* (prepared and signed by Auditors) .In the event they are not available then management accounts with Director's certification.
8. *Resolution signed by a director* (whose personal details are disclosed to us) naming the Ultimate Beneficial Owners with 10% or more and % of their beneficial ownership in the Company and full identity verification, documents. Document must include authority for signatories, specimen signatures and verification of powers.
9. World Check Search performed as described in the present.
10. Personal information on *Ultimate Beneficial Owners* with 10% beneficial ownership or more (different verification documentation required for identity and proof of address):

- Certified copy of their Passport (with photograph and signature specimen included).
- 1 recent copy of confirmation of address in the person's name.

All documents/certificates must be not more than 6 months' old

11. Copy of the *list of authorised Signatories* with signature specimens (Authorised by a Director/ General Partner whose name and position can be seen in the documents provided to us). Authorised signatories for trading and Back Office purposes should also be included as well as powers granted.
12. If applicable, a *Certified copy of a Power of Attorney* for the person(s) who will open the account (in case this person isn't a director).
13. Personal information of *Attorney/s* (different verification documentation required for identity and proof of address):

- Copy of their *Passport* (with photograph and signature specimen included).
- 1 recent copy of *proof of address* in the person's name.

All documents/certificates must be not more than 6 months' old

14. *Bank account details* of the account through which cash settlement of trades will be taking place and Bank reference Letter
15. Letter confirming that they are trading as *Principals*.
16. Accepted Terms of Business

    The Company performs annual ongoing review or in the event of a change (unusual or high -value transaction to company profile) it might be triggered automatically.

    Company retains documents for a minimum of six (6) years after account closure.

2.6 KYC documentation for private companies with bearer shares

The Company shall assess the risks associated with bearer shares on a case-by-case basis, including risks arising from the jurisdiction in which the shares are held or controlled. The Company reserves the right to refuse to enter into or continue any business relationship if it determines that the use of bearer shares poses an excessive risk of money laundering, terrorist financing, or other financial crime.

The Due Diligence documentation that is required for private companies with bearer shares is indicated below:

Applicable:

- Private companies with bearer shares in issue
- Private companies with the capacity to issue bearer shares as per their M&As

Requirements:

1. Apostilled copy of *Certificate of Incorporation* and any *Change of Name Certificates*;
2. Apostilled copy of *Certificate of Registered Office*;
3. Apostilled copy of *Certificate of Shareholders*;

    Company for verification purposes requires certified copies or electronic verification via the applicable corporate registry.

- *In case the Shareholders are other legal entities the following additional documentation is required:*

- *A legal structure chart showing all intermediate entities up to the Ultimate Beneficial Owners;*
- *Full legalization documents of the ultimate legal entity which exercises actual control or, in the case of many ultimate legal entity shareholders, of those legal entities that exercise such control. The legalization documents of intermediary holding companies are not required. The term "legalisation documents" includes (i) Certificate of Incorporation, (ii) Certificate of Registered Office, (iii) Register of Shareholders, (iv) Register of Directors, (v) Memorandum & Articles, whereas the term "control" applies to direct and indirect ownership of over 50% or as per FATF guidance.*
- *Additional to requirement #10 below, a UBO resolution from the above ultimate legal entity exercising control is required.*

• *In cases the Shareholders are Nominees, additionally to the below are required either the Nominee agreement OR a UBO resolution from such Nominee shareholder(s). In the event of Nominee shareholders the Company requires verification documents as well as full legalization documents for nominee agreements.*

4. Apostilled copy of *Certificate of Directors*;
5. Personal information on one *Director*:

• Copy of their *Passport* (with photograph and signature specimen included);
• 1 recent copy of *proof of address* in the person's name.
• PEP screening and ongoing monitoring for changes

All documents/certificates must be not more than 6 months' old

6. Apostilled copy of the *Memorandum & Articles of Association;*
7. A written confirmation by the company's directors once every year that the shareholding structure has not been altered by the issue of new bearer shares or the cancellation of existing ones;
8. Bearer shares declarations depending on whether the Client/ CP has bearer shares already in issue or has registered shares in issue but has the capacity, as per its M&As, to issue bearer shares and verified with official corporate registry; It is

mandatory to immediately update Company for any changes(cancelation or new beare shares issed)

9. Latest Audited *Financial Statements* (prepared and signed by Auditors);
10. *Resolution signed by a Director* (whose personal details are disclosed to us) naming the Ultimate Beneficial Owners with 10% or more and % of their beneficial ownership in the Company;
11. Personal information on *Ultimate Beneficial Owners* with 10% beneficial ownership or more:

- Certified copy of their *Passport* (with photograph and signature specimen included);
- 1 recent copy of *proof of address* in the person's name;

<u>All documents/certificates must be not more than 6 months old</u>

12. Apostilled copy of the *list of authorised Signatories* with signature specimens (Authorized by a Director/ General Partner whose name and position can be seen in the documents provided to us). Authorized signatories for trading and Back Office purposes should also be included;
13. If applicable, a *Certified copy of a Power of Attorney* for the person(s) who will be opening the account (in case this person isn't a Director) and clearly stated Powers and signature's verification;
14. Personal information of *Attorney/s*:

- Copy of their *Passport* (with photograph and signature specimen included).
- 1 recent copy of *proof of address* in the person's name.

<u>All documents/certificates must be not more than 6 months' old</u>

15. *Bank account details* of the account through which cash settlement of trades will be taking place;
16. Accepted Terms of Business

For clients operating in high-risk jurisdictions it is required to maintain accounts with regulated financial institutions that implement comprehensive Anti-Money Laundering (AML) controls, in order to mitigate financial crime and comply with applicable regulatory standards.

The Company reserves the right to refuse the opening of any account if the beneficial ownership of the applicant cannot be determined, if the company is incorporated or operates in a high-risk jurisdiction with opaque ownership, or if the required documentation is incomplete or cannot be verified to the Company's satisfaction.

2.7 KYC documentation for trusts

All trusts are subject to a risk-based assessment. The Company may refuse to establish or continue relationships with trusts deemed high-risk, including those from opaque jurisdictions or with complex structures.

Trusts with bearer instruments are considered high-risk and may require enhanced due diligence. The Company retains sole discretion in assessing risk and applying additional measures.

The Due Diligence documentation that is required for trusts is indicated below:

Applicable to:

- Bare Trusts, Discretionary Trusts, Private Trusts, Public (Charitable) Trusts, Purpose Trusts

Non-applicable to:

- Unit Trusts (i.e. Investment Trusts / Mutual funds) which are regulated (see Funds)
- Occupational Pension Schemes established as trusts which are regulated (see Funds)

Requirements:

1. Apostiled copy of the *Trust Deed* in order to identify the Trust structure and verification of the Deed through local registry or legal counsel in the vent of high risk jurisdiction.
2. KYC of the Beneficiaries
3. KYC of the Trustees
4. KYC of the Settlors
5. PEPs screening

6. Apostiled copy of the list of *authorised Signatories* with signature specimens (Authorised by a Trustee/ Director of the Trustee whose name and position can be seen in the documents provided to the Company). Authorised signatories for trading and Back Office purposes should also be included.
7. If applicable, a *Certified copy of a Power of Attorney* for the person(s) who will be opening the account (in case this person isn't a Director) including limitations on authority.
8. Personal information of *Attorney/s*:
   - Copy of their *Passport* (with photograph and signature specimen included).
   - 1 recent copy of *proof of address* in the person's name.

   <u>All documents/certificates must be not more than 4 months' old</u>
9. *Bank account details* of the account through which cash settlement of trades will be taking place.
10. In cases of a Client/ CP acting on behalf of underlying clients the *Best Practice Questionnaire* is required.
11. Accepted Terms of Business
12. <u>**NOTES:**</u>

i. ***Fund Manager:*** *KYC on a Fund is not complete without client identification (KYC) of the Fund Manager. The justification for this is that although Company's client/ CP is the Fund the control rests with the Fund Manager therefore client identification will be incomplete without the identification of the Fund Manager*

ii. ***Subsidiaries/ Trading vehicles:*** *In case our client/ CP is a subsidiary/ trading vehicle of a Fund then a proof of such a relationship is required by means of a Shareholders' Register or Audited Financial Statements or Prospectus.*

iii. ***Audited Financial Statements:*** *In situations where our client/ CP may not provide their own distinct set of Audited Financial Statements, and providing that our client/ CP is a subsidiary of a parent company, the Consolidated Financial Statements of the parent company can be provided instead.*

iv. ***Corporate Directors:*** *In cases of Corporate Directors or General Partners (i.e. where the Director/ GP is another legal entity), Proof of Directors of the*

Corporate Director and copy of the Identity Documents of at least one of the natural Persons who are Directors of the Corporate Director need to be provided instead.

v. ***Umbrella funds / sub-funds / segregated portfolio companies:*** *Where a fund operates numerous sub-funds or segregated portfolios (either through share classes, separately incorporated entities or fund allocations) these can be represented as direct sub-accounts of the parent fund and no additional KYC checks are required for the sub-funds or segregated portfolios (except for authorized signatories if different).*

vi. ***Occupational Pension Funds:*** *In cases of Occupational Pension Funds we perform KYC on both the employer and the Pension Fund. In such cases the client identification requirements and risk profile of the Pension Fund is the same as the one applicable to the employer.*

vii. ***Funds at the Pre-investor or Start-up phase:*** *We do not initiate a relationship with a fund which is in the pre-investor or start-up phase. In such cases, interim client identification procedures can commence at the pre-investor or start-up phase, however KYC 'Approved' status will only be granted once the final executed copy of the Prospectus/ Offering Memorandum/ Placement Memorandum is submitted.*

viii. ***Certified (True) Copy*** *means that the person certifying the copy of the document has had sight of the original document at certification and holds the position to certify that the copy is a True and Complete copy of the original document. The Company recognizes such certifications when made by independent reputable sources. Such sources indicatively include the Client's Bank, the Client's Legal Counsel, a Solicitor / Lawyer or Public Accountant regulated by a professional body (membership number required), Notary Public, the Police or similar authority. The Company requires that the certification process includes the Authenticator stating their name, capacity/position, signature, date and Official Seal on the documents being certified.*

ix. ***Proof of address:*** *Proof of address can be demonstrated through any of the following documents: Utility Bill, Bank Statement, Credit Card Statement, Voting Card, Telephone Directory, Tenancy Agreement or other similar 3rd party documentation.*

x. ***Apostilled copies:*** *Documents should be apostilled in accordance with the provisions of The Hague Convention.*

xi. ***UBO resolution signatories:*** *The UBO resolution needs to be signed by either:*

- *A Director of the Company provided he is not also a UBO or*
- *An independent solicitor, auditor, Regulated Financial Institution.*

xii. ***Certification standards:*** *Copies of documents should be certified as true copies if the Client/ CP is from the EU or an Approved Country and apostilled if the Client/ CP is from any other jurisdiction.*

For all complex structures, the Company requests a diagram showing ownership and control, including ultimate beneficial owners, must be provided. The Company is applying enhanced monitoring to discretionary and purpose trusts, due to their higher money laundering and terrorist financing risk, including verification of trustees, settlors, and beneficiaries, and ongoing review of transactions and trust purpose.

2.8 Dormant Accounts

An account shall be considered as dormant and/or inactive, in the absence of any trading activity for a period greater than (60) sixty calendar days

Once an account is treated as Dormant, the Client will be informed accordingly via email, mentioning:

- That the account is suspended
- That the account is classified as dormant due to the absence of trading activity for a period exceeding sixty (60) calendar days, including the applicable amount and frequency of such fee.
- That the account is being charged a dormant maintenance fee for the Company to maintain the account
- The right of the Company to reset the password for security purposes.

During the period in which an account remains Dormant, the Company reserves the right to monitor the account for any unusual activity, attempted unathorised access, or other suspicious behavior, in accordance with its internal security, anti-money laundering (AML), and counter-terrorist financing (CTF) procedures.

All notifications related to the classification of an account as Dormant including but not limited to reactivation approvals, shall be duly documented and retained by the Company for record-keeping and audit purposes, in accordance with applicable regulatory and internal compliance requirements. Dormant accounts may present a higher risk in relation to money laundering and terrorist financing (ML/TF). Accordingly, the Company may conduct periodic internal risk assessments and reviews of Dormant accounts, even prior to any reactivation request.

Dormant accounts may be reactivated upon written confirmation or request by the Client. Upon such request, the Company's Back Office shall review the Client's documentation and shall obtain updated Know Your Customer (KYC) and due diligence information, as required. The Client shall be permitted to resume trading only after all required reviews, risk assessments, and KYC procedures have been satisfactorily completed and approved by the Company.

2.9 Enhanced Due Diligence (EDD)

Enhanced due diligence (EDD) is a more detailed procedure applied to high-risk clients, non-face-to-face clients, Politically Exposed Persons (PEPs), and in any case where additional scrutiny is required to prevent money laundering or terrorist financing. EDD measures are applied during onboarding and throughout the business relationship.

The Company has established appropriate, specific, and, where necessary, enhanced due diligence policies, procedures, and controls to detect and report instances of money laundering through the clients' accounts.

EDD shall be performed when:

- The client refuses to provide the requested and/or additional documents during the establishment and the continuity of the business relationship;
- The client's name is identified in the World Check (i.e PEP);

- The client originates from a high-risk country (falls under Category 3 risk classification);
- The client does business in a high risk or sanctioned country and or in high-risk industry;
- Complex business and ownership structure;
- Suspicious behavior or activities;
- Transaction takes place in an unusual and/or significant compared to the normal pattern of transactions; and
- Transactions to/from higher-risk countries.

When conducting EDD, the Company shall, at a minimum, review and document the following during onboarding and throughout the business relationship:

- The purpose of the account;
- The source of funds.
  - If the client is unemployed, clarification must be obtained on the source of funds to be used for trading.
  - Where the account is funded by a third party (e.g. father, mother, spouse), full KYC documentation must be obtained for the funding individual;
- The client's occupation and/or type of business.

Periodic Reviews

- All active clients shall be screened through World Check on an annual basis to ensure that their risk profile and status have not changed.
- If there is a match in World Check and the Back office cannot find if it concerns our client, additional documents will be requested i.e. clean criminal record and/or Bank reference letter **Periodic Reviews:**
- The clients should provide new KYC if the one obtained is expired.
- All clients undergo periodic reviews to ensure the accuracy and validity of their information in accordance to their categorization as followingly:

a. **High-risk clients** (both natural persons and corporate entities) reviewed at least annually.

b. **Low-risk clients** shall be reviewed every 2–3 years, unless risk indicators change, triggering an earlier review.

The review process shall include verification of client information, assessment of changes in risk profile, and updating of records as necessary.

3. ADDITIONAL MEASURES

Risk Based Approach (RBA): A risk-based approach involves specific measures and procedures in assessing the most cost effective and proportionate way to manage the money laundering (ML) and terrorist financing risks (TF) faced by the Company. Such measures and procedures are:

- identifying and assessing the money laundering and terrorist financing risks emanating from specific customer type, financial instruments, services used and geographical areas of operation of the Company and its customers and specific measures are applied according to risk level;
- documenting in in the Risk Management and Procedures Manual the policies, procedures and controls, which shall be communicated to all employees of the Company who manage, monitor, or otherwise control client transactions. The uniform application of such policies, procedures, and controls across the Company shall be the responsibility of the Board specifically designated personnel.
- managing and mitigating the assessed risks by the application of appropriate and effective measures, procedures and controls to address identified risks.
- continuous monitoring and improvements of policies, procedures and controls to ensure their effective operation.

On implementing appropriate measure and procedures on a risk-based approach, and on implementing the customer identification and Due Diligence procedures the Company consults data, information and reports that are published on the websites of the following relevant international organizations.

a. FATF – ww.fatf-gafi.org
b. UN Security Council Sanctions Committees-www.un.org/sc/committees

c. International Money Laundering Information Network (IMOLIN) – www.imolin.org

3.1 High Risk and Non-Cooperative Jurisdictions and FATF Recommendations

The company monitors countries with weak AML/CFT compliance in accordance with FATF recommendations and implements measures to prevent money laundering or terrorist financing originating from such jurisdictions, in particular, the Company does not accept clients from prohibited jurisdictions, including Iran and the Democratic People's Republic of Korea (DPRK).

The Company performs enhanced checks and requests additional documents depending on the client's risk categorization ensuring that clients from higher-risk jurisdictions undergo enhanced due diligence (EDD).

For clients that fall under:

Category 1- The documents requested are as described in the Company's Back-office manual, Document 1 Identification and Document 2. Utility Bill.

Category 2 – Passport **or** two (2) forms of ID, (1) valid utility bill.

Category 3 – Only a passport can be accepted in this case and one (1) Utility bill and a bank statement. The documents must be certified by a Lawyer or a public notary, the name, the address and the signature of the person who has certified the documents as well as the date on which it was certified is to be included.

4. <u>Sanction and Restrictive Measures Procedures</u>

This section states the Company's commitment to act in full compliance with, sanctions or restrictive measures imposed on countries, territories, entities, or specific persons and bodies by the UN, UK and the EU.

Compliance with sanctions, or restrictive measures, is important for:

1. The avoidance of criminal, civil or regulatory action and/or penalties that may be taken against the Company by regulatory or other authorities,

2. The protection of the Company´s reputation, and

3. To safeguards national security of EU Members and countries around the world; the effort to combat terrorist financing and proliferation; and respect for civil society and human rights.

4. To support global efforts against TF and proliferation.

5. To uphold civil society and human rights.

This paragraph outlines the legal and regulatory requirements emanated from the provisions set out in the Law for the Implementation of the Provisions of the United Nations Security Council Resolutions (Sanctions) and the Decisions and Regulations of the Council of the European Union Law 58(I) of 2016.

The Company, through the Risk Assessment, identifies any sanctions risks and sets out appropriate mitigation measures. The employees of the Company need to be informed for this Manual and comply with internal policies.

If any of the definitions are defined differently in the applicable law (for example, if any of those definitions should be amended by the Act), the definition as defined in the applicable law shall have precedence over the definition stated in the internal policy definition:

- **<u>Persons connected with a sanctioned country</u>**

Persons connected with a sanctioned country are considered those who fall within the definition of:

a. Persons who are residents in a sanctioned country; and

b. Persons with a passport from a sanctioned country.

This means that nationality or residence in a sanctioned jurisdiction automatically flags a client as higher risk for sanctions compliance purposes.

- **Sanctions**

Instruments of a diplomatic or economic nature or legal measures which seek to bring about a change in activities or policies such as violations of international law or human rights, or policies that do not respect the rule of law or democratic principles and to enforce international law, human rights or democratic principles. Sanctions (or restrictive measures) may target governments, non-state entities and/or individuals (such as terrorist groups and terrorists). They may include arms embargoes, other specific or general trade restrictions (e.g. import and export bans), financial restrictions, restrictions on admissions (e.g. visa and travel bans), or other measures, as appropriate

- **International Sanctions:**

An essential tool of foreign policy aimed at supporting the maintenance or restoration of peace, international security, democracy and the rule of law, following human rights and international law or achieving other objectives of the United Nations Charter or the Common Foreign and Security Policy of the European Union. International Sanctions are imposed by a resolution of the United Nations Security Council, a decision of the Council of the European union or any other legislation. International Sanctions may ban the entry of a Subject of an International Sanction in the state, restrict international trade and international transactions, and impose other prohibitions or obligations.

- **Financial Sanctions:**

International Sanctions as defined in the International Sanctions Act and which, most importantly:

- Obligate the freezing of funds and economic resources of the Subject of International Financial Sanctions;

- Prohibit the making available of financial and economic resources to the subject of the Financial Sanctions
- Prohibit the opening and use of a deposit, payment, securities or other account under the conditions prescribed by the Legal Act Implementing International Sanctions; or
- Prohibit, under the conditions provided for by the Legal Act Implementing International Sanctions, the starting or continuing of Business Relationships, consultancy or the provision of other financial services related to the activities listed above.

- **Subject of International Sanctions/ Financial Sanctions:**

Any natural or legal person, entity or body, designated in the legal act imposing or implementing International Sanction/Financial Sanctions apply.

Violation of International Sanctions/Financial Sanctions: any failure to perform an obligation or violation of a prohibition provided for in the Legal Act Implementing International Sanctions/Financial Sanctions. It involves both natural and legal entities and carries regulatory and potentially criminal consequences.

- **Legal Act Implementing International Sanctions/Financial Sanctions:**

A treaty, a regulation of the Council of the European Union or the act of law of the Republic of Cyprus on the basis of which the obligations and prohibitions prescribed in the legislation on the imposition of International Sanctions/Financial Sanctions shall be applied.

5. ANTI-MONEY LAUNDERING COMPLIANCE OFFICER'S OBLIGATIONS

The AML Compliance Officer (AMLCO) is responsible for ensuring the Company complies with all anti-money laundering and counter-terrorist financing (AML/CTF) obligations. Their key duties include:

a. To design the internal practice, measures, procedures and controls relevant for the prevention on money laundering and terrorist financing and to describe and allocate the appropriateness and the limits of responsibility of each department that is involved.

b. To establish the customer's acceptance policy and to submit it to the board of Directors for approval.

c. To prepare the anti-money laundering and terrorist financing policy in accordance with regulations

d. To monitor and assess the correct and effective implementation of the policy and procedures across the Company.

e. To receive information and reports from the employees about knowledge or suspicion of money laundering or terrorist financing activities or is possibly related to such activities.

f. To ensure that reports are properly assessed and escalated where necessary.

g. To provide guidance to the employees on subjects related to money laundering and terrorist financing.

h. To establish the procedures to ensure high standards of integrity of its employees and a system to evaluate the personal, employment and financial history of these employees before and during employment.;

i. On–going employee training programs, such as "know– your–customer"(KYC) programs, and instructing employees with regard to the responsibilities.

j. To ensure employees are aware of their responsibilities under AML/CFT laws and internal policies

6. REVIEW OF POLICY

"The Company's Anti-Money Laundering (AML) and Know Your Customer (KYC) Policy will be reviewed at least once every year. Updates shall also be made whenever there are changes to applicable laws, regulations, or new provisions of the

Act. The final reviewed or amended policy must be submitted to the Board of Directors for feedback and approval.